

IN THE MATTER OF ARBITRATION

Between:

Al Saadiyat Development & Investment Sole Proprietorship Company LLC
(the "Claimant")

Versus

B+H Architects Corp – Dubai Branch
(the "Respondent")

CLAIMANT'S OPENING SUBMISSIONS

1. UAE LAW

- 1.1. As a fitting prelude to the hearing, the Claimant submits it is imperative to understand and follow some cardinal concepts and rules of UAE law, as the disputes in this arbitration arise out of the Consultancy Agreement (between the Claimant and the Respondent, Exhibit C-1), that is governed by the laws of the Emirate of Abu Dhabi and the United Arab Emirates.
- 1.2. As a consequence of UAE law being the governing law of the Consultancy Agreement, all issues in this arbitration that arise out of the Consultancy Agreement must be determined in accordance with UAE law, including:
 - (a) the construction and effect of the provisions of the Consultancy Agreement;
 - (b) the concept of liability under UAE law;
 - (c) the measure of damages under UAE law, when liability is established; and
 - (d) it may be added that if issue is not specifically addressed or dealt with in the Consultancy Agreement must be determined and decided in accordance with UAE law.
- 1.3. UAE law is based on the Islamic Sharia. The Sharia does not make the distinction that is traditionally made between contract and tort under Common Law and some other western jurisdictions. Therefore, under UAE law, there is no formal distinction between contracts and torts, when it comes to liability and compensation for liability. Under UAE law, liability under contract and liability for tort are both based on a common concept of compensation for liability known as "daman" (liability or responsibility).
- 1.4. In particular, the UAE Federal Law No. 5 of 1985, as amended, relating to Civil Transactions (the "**Civil Code**") considers compensation in tort and compensation in contract in one wider category known as *daman*. *Daman* is compensation for harm inflicted (*darar*), irrespective of whether the harm was done in breach of contract or its rescission, or done by way of a delict (tort). *Darar* means harm, injury or damage. *Daman* means compensation, reparation or remedy.

1.5. Under the Civil Code any harm done by an act that causes harm (a harmful act), which includes gross negligence, whether it is by way of breach of contract or in tort, must be fully remedied by payment of compensation. The liability for a contractual breach and a harmful act is “strict”. Strict liability is derived from the *hadith*¹, which strictly prohibit any kind of harm being caused.

1.6. Under the Civil Code, all harm, whether it is done **in a contractual context or in a tortious context**, must be remedied. This is reflected in Articles 42 and 282 of the Civil Code, which lay down the general of liability, **common to both contract and tort**, that whoever causes harm to others must make it good by, among other remedies, paying compensation.

Article 42

(1) No harm shall be done, nor harm done in return

(2) Harm shall be made good.

(3) Harm may not be made good by causing similar harm (in return).

1.7. Article 282 of the Civil Code imposes strict liability for a contractual breach or a harmful (tortious) act (such as gross negligence) in the following terms:

Article 282

Any harm done to another shall render the actor, even though not a person of discretion, liable to make good the harm. [emphasis is mine]

1.8. The words “even though not a person of discretion” clearly indicate the policy underlying UAE law in respect of contractual defaults and harmful acts is strict liability. So strict, in fact, that even a person who is insane or a child below the age of 7 (Hijri) years is not exempt from the liability to make good harm caused by him or her.

1.9. Article 86 of the Civil Code defines the age of discretion:

Article 86

No person who lacks discretion by reason of youth, imbecility or insanity shall be competent to exercise his civil rights.

1.10. Persons under the age of seven years shall be deemed not to have reached the age of discretion.

1.11. This principle of strict liability is derived from the *hadiths* of the holy prophet, peace be upon him. Thus, following the *hadiths*, under UAE law there is an absolute prohibition against doing harm. This prohibition applies in both the contractual context (i.e. where there is a contract between the parties to a dispute) or in a non contractual (tortious) context – where there is no contract between the parties. The strict prohibition against causing harm is accompanied by strict liability for making good any harm caused. s

1.12. In practice the courts have developed a theory of liability based on three cardinal pillars or elements, which are:

- (i) a breach or committing of a “harmful act” by the defendant;
- (ii) that result in harm being caused to the claimant/plaintiff; and

¹ *Hadith* are the sayings and actions (conduct) of the holy prophet, which are considered legally authoritative.

- (iii) a causal relationship between the fault/unlawful act and the harm.
- 1.13. The three pillar theory is applied to establish both, contractual and tortious liability.
- 1.14. Under Islamic law, any harm caused by a harmful act must be remedied, irrespective of whether the harmful act was committed whilst performing a contract or committing a harmful act
- 1.15. In regard to liability under UAE law, there are two noteworthy aspects:
- (a) the absence of any distinction between contract and tort; and
- (b) strict liability for causing harm, as an over-arching principle.
- 1.16. Because there is no distinction between contract and tort when it comes to liability for causing harm, the principles applied under UAE law for measuring, quantifying or computing damage, irrespective of whether the damage was caused by way of a breach of contract or a harmful act (such as gross negligence), in the absence of a contract, are the same. The basic principle that is laid down in Article 282 of the Civil Code, is that all harm that has been caused must be made good.
- 1.17. In particular, the Civil Code considers compensation in tort and compensation in contract in one wider category known as daman. Daman is compensation for harm done.
- 1.18. The measure of damages under UAE law for contractual breaches and in tort, is the actual loss suffered by the Claimant. This principle, namely, that the measure of damages is the actual loss suffered by the Claimant is explicitly embodied in Articles 386, 389 and 390 of the Civil Code, which are reproduced below:

Article 386

If it is impossible for an obligor to give specific performance of an obligation, he shall be ordered to pay compensation for non-performance of his obligation, unless it is proved that the impossibility of performance arose out of an external cause in which (the obligor) played no part. The same shall apply in the event that the obligor defaults in the performance of his obligation

Article 389

*If the amount of compensation is not fixed by law or by the contract, the judge shall assess it in an amount equivalent to the damage **in fact** suffered at the time of the occurrence thereof.*

Article 390

(1) The contracting parties may fix the amount of compensation in advance by making a provision therefor in the contract or in a subsequent agreement, subject to the provisions of the law.

*(2) The judge may in all cases, upon the application of either of the parties, vary such agreement **so as to make the compensation equal to the loss**, and any agreement to the contrary shall be void*

- 1.19. Under Article 390 of the Civil Code, the power of the court/tribunal “*to make the compensation equal to the loss*” is absolute and untrammelled, and cannot be contracted out of.
- 1.20. From the above basic principles of UAE law the following conclusions may be readily deduced:

- (a) that the compensation that a claimant is entitled to for a contractual breach or a tort (such as gross negligence) is equivalent to the actual loss suffered by the Claimant.

At this point it would be pertinent to point out that UAE law does not contain any duty corresponding to the duty to mitigate damage under Common Law. No provision of UAE law requires a claimant to mitigate damage. The measure of the damage is actual loss, without any duty to mitigate. Thus, if a claimant has actually paid, to a third party, an amount of money as a result of a defendant's default, the claimant would be entitled to recover the entire amount paid, unless, of course, the Respondent can prove collusion or fraud or other good legal reason (apart from alleged unreasonableness) for reducing the quantum of or denying the Claimant's claim – the notion of reasonableness does not come into play, and is irrelevant. Applying the above example to the facts of this case, if the Claimant has paid an amount to the construction contractor due to delay attributable to the Respondent the Claimant would be entitled to recover the full amount paid from the Respondent – without any debate as to whether the amount paid by the Claimant and claimed by the construction contractor was reasonable, except if the Respondent can prove collusion or fraud between the Claimant and the construction contractor or there exists some other legal reason for denying the Claimant's claim.

- (b) Even if an agreement seeks to restrict or limit the compensation payable for a breach by contract the court/tribunal will always retain the power to award compensation that reflects the actual loss suffered by a claimant and any agreement seeking to limit the power of the court/tribunal would be void. A court may, in its discretion, ignore or deviate from a contractual liquidated damages clause under which it turns out a party is being enabled to recover more or less than his/her/its actual loss. In such cases, the court may award compensation to reflect actual loss at the request of the party liable to pay compensation provided the party liable to pay compensation has proved that the compensation being claimed exceeds the actual loss.

1.21. A further point to bear in mind whilst hearing the evidence, is that the burden of proof is a dynamic concept – it shifts to and fro between the parties during the course of a legal proceeding. The rule of the burden of proof is merely a rule of evidence. This means that once the Claimant has produced prima facie evidence of its claim, the burden immediately shifts to the Respondent who must, if it chooses to dispute the prima facie evidence produced by the Claimant, to produce evidence to refute the Claimant's evidence. Thus, in instances where the Claimant in this arbitration has produced proof of payment, such proof of payment is *prima facie* evidence of the Claimant's "actual" loss that gives the Claimant a concomitant right to claim and recover the amount paid from the Respondent - without any debate as to whether the amount paid was reasonable - unless the Respondent can prove collusion or fraud by the Claimant or some such other legal reason for denying the Claimant's claim. The amount paid by the Claimant would be the "actual" proved loss that is, *prima facie*, recoverable by the Claimant from the Respondent, and the burden of proving that the amount paid by the Claimant is unreasonable, if that is the case of the Respondent, will lie on the Respondent – the burden would not lie on the Claimant to prove that the amount paid by the Claimant was reasonable.

1.22. The next issue in relation to UAE law that would be appropriate to allude to prior to the hearing is that the Civil Code does not contain a definition of gross negligence. Therefore, the concept

of gross negligence must be gleaned from the judgments of the superior courts of the UAE, namely, the Federal Supreme Court and the apex courts of the Emirates of Abu Dhabi, Dubai and Ras Al Khaimah². The Claimant has cited relevant UAE case law in the Statement of Claim in relation to gross negligence.

- 1.23. A word of caution in relation to the definition/concept of gross negligence under UAE law would be in order. The concept of gross negligence is not equivalent to or co-terminus with the concept of gross negligence under Common Law. For example, under UAE case law (including case law cited by the Claimant in the Statement of Claim), a failure to follow applicable regulations in the course of rendering professional services, *ipso facto*, amounts to gross negligence. Gross negligence has also been defined in other ways in UAE case law, which may or may not coincide with the concept of gross negligence under English law. The point being made is that the concept of gross negligence must be found in the judgments of the UAE courts, not through logic or common sense, and certainly not by reference to English law.

2. Merits

- 2.1. It is not necessary for the Claimant to go into the merits in these opening submissions, save and except to point out:

- (a) Under Clause 5.2 of the Consultancy Agreement between the Claimant and the Respondent (the “**Consultancy Agreement**”), the Respondent is responsible and fully liable to the Claimant for all architectural and engineering designs for the Development and the structural integrity of the designs for the Development provided by or on behalf of the Respondent by the Structural Designer.
- (b) Under Clause 23.3 of the Consultancy Agreement:
 - (i) the Respondent warranted that its sub-consultants (i.e. the Structural Designer) would be sufficiently qualified, skilled, experienced and competent;
 - (ii) the Respondent was bound to actively supervise the work of its sub-consultants; and
 - (iii) the Respondent is fully liable to the Claimant for the performance and result of any services subcontracted to a sub-consultant as well as for any delay or claim by or against its sub-consultants

- 2.2. The cause of action of the Claimant against the Respondent is that:

- (a) the Structural Designer was grossly negligent in preparing the designs for the Development and the Respondent is fully liable to the Claimant, under the explicit terms of the Consultancy Agreement, for the gross negligence of the Structural Designer and under Article 313 of the Civil Code; and

² The three emirates mentioned operate self-contained judicial systems under which the final appeal lies to the Cassation Court, which is the apex court of the Emirate. The other four emirates in the United Arab Emirates do not have an apex court of their own. The final court of appeal in these four emirates is the Federal Supreme Court.

(b) the Respondent is liable to the Claimant for its own gross negligence in abdicating its duties under clause 23.3 of the Consultancy Agreement, in as much as the Respondent:

- (i) abjectly failed, to the point of virtually abdicating its contractual duty, to actively supervise the work of its sub-consultant; and
- (ii) breached its warranty that its sub-consultants would be sufficiently qualified, skilled, experienced and competent.

2.3. With regard to the defective structural design of the Basement Floor Slab, the Claimant submits the structural design of the Basement Floor Slab prepared by the Structural Designer contained grave and fatal defects that lead to the Basement Floor Slab between Plots C1A and C2 collapsing on the night of Thursday/Friday, 25 June 2021. Incidentally, the structural experts of both parties agree that the Basement Floor Slab design was defective. The Structural Designer is liable to the Claimant under Article 880 of the Civil Code and the Respondent is liable to pay compensation to the Claimant for the gross negligence of the Structural Designer under the Consultancy Agreement and under Article 313 of the Civil Code and for the Respondent's own gross negligence in abdicating its duties under Clause 23.3 of the Consultancy Agreement relative to the Basement Floor Slab. Whilst the general rule under UAE law is that a person is not liable for the acts or omissions of another, a person may be held to be liable to pay compensation (as opposed to being vicariously liable) for the acts or omissions of another in certain circumstances, which are enumerated in Article 313 of the Civil Code. In this case, the Respondent is liable to pay compensation for acts and omissions of the Structural Designer. The Claimant shall elaborate on this point in the final written submissions. At this stage, suffice it to say that the Claimant is entitled to recover from the Respondent the entire amount of AED 48,000,000 paid to the remediation contractor together with all costs and expenses associated with the defective design and failure of the Basement Floor Slab, including loss of rental income, prolongation costs, cost of abortive and additional works, additional fees paid or payable to the engineer and third party consultants and dewatering costs together with interest in accordance with UAE law.

2.4. With regard to the smoke purging system the Claimant submits that the Structural Designer was grossly negligent in preparing the smoking purging system of the enclosed car parking in the four basements of the Sunrise Residence and the Sunset Residence as the designs did not, inter alia, conform to the requirements of the UAE Fire & Life Safety Code of Practice, September 2018 ("**FLSCOP 2018**"). The Respondent is liable to pay compensation to the Claimant for the gross negligence of the Structural Designer in relation to the defects in the smoke purging system under the Consultancy Agreement and under Article 313 of the Civil Code and for the Respondent's own gross negligence in abdicating its duties under Clause 23.3 of the Consultancy Agreement relative to the defects in the smoke purging system. The Claimant submits it is entitled to recover from the Respondent the entire amount spent on the rectification of the smoke purging system to render it compliant with applicable regulations, notwithstanding the Respondent's contention that all the sums spent on rendering the smoke purging system compliant is not recoverable. The Claimant will argue this point further in the closing written submissions.

- 2.5. With regard to the design defects of the ground floor slab (and design defects in the Basement Floor Slab and the design defects in the smoke purging system), the Claimant submits that the Respondent is liable to the Claimant under the Consultancy Agreement and under Article 313 of the Civil Code for the gross negligence of the Structural Designer and the Respondent is liable to the Claimant for its own gross negligence in abdicating its duties under Clause 23.3 of the Consultancy Agreement relative to the design defects in the ground floor slab. The defects in the ground floor design (which were rejected by the competent authorities) were:
- (a) the design of the ground floor slab is insufficient to carry the load of a fire truck; and
 - (b) the design of ground floor slab in the landscaped areas between the buildings is insufficient to carry the load of backfilling (load of sub-base in walkways & sweet soil in planters) and finishing (load of interlock tiles/granite tiles) of the landscaped areas.
- 2.6. The Claimant reiterates all the statements, submissions and contentions in the Statement of Claim as if there were set out in these submissions seriatim.
- 2.7. In the facts and circumstances, the Claimant submits that the Claimant is entitled to recover from the Respondent:
- (a) the amount of AED 148,209,785.45 as particularised in the Statement of Claim; and
 - (b) any amount that may have been paid or may become payable to the construction contractor on account of prolongation costs attributable to defective designs and the gross negligence of the Structural Designer (for whom the Respondent is contractually liable to the Claimant) and the gross negligence of the Respondent in abdicating its own contractual duties; and
 - (c) interest on amounts awarded to the Claimant in accordance with UAE law; and
 - (d) arbitration costs on a full indemnity basis.
- 2.8. Theses opening submissions are being filed for the limited purpose of highlighting certain issues that may be of assistance to the Tribunal during the course of hearing oral evidence. They are not an exhaustive statement of the Claimant's case. The Claimant reserves the right to advance all arguments and contentions that are available to it under UAE law based on the facts on record and to rely on relevant UAE case, whether or not cited in the Statement of Claim, in the final written submissions following the evidentiary hearing.

Submitted on behalf of the Claimant on this 11th day of October 2023

For and on behalf of
the Claimant



Basil H. Siddiqi
Hadeef & Partners LLC